Thornbury Accounting Advisory
Transaction services and accounting

Financial Due Diligence
Harbour Point Marina

Summary of FY25 financial statements, quality of earnings and credit metrics

Prepared for Quillwood Credit Partners
Version 1.0, 19 September 2025
Strictly private and confidential
Reference: TAA/FDD/HPM/2025-09-19/v1.0
Date: 19 September 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
Confidential. Prepared for the addressee only and not to be relied on by any other party.

Borrower	Harbour Point Marina Pty Ltd
ABN	78 521 813 558
Registered address	8 Marina Parade, Bayview NSW 2104
Asset	260-berth marina, western foreshore of Pittwater, NSW
Sponsor	Tolland Marine Holdings Pty Ltd (70%); Redmayne Family Investments Pty Ltd (30%)
Financial year end	30 June 2025 (FY25)
Facility requested	A$18.0M senior secured term loan, 36 months
Prepared by	Thornbury Accounting Advisory
Prepared for	Quillwood Credit Partners
Date and version	19 September 2025, Version 1.0

Document details

1. Executive summary

Quillwood Credit Partners has asked us to summarise the FY25 financial statements of Harbour Point Marina Pty Ltd (the Company) and to comment on earnings quality, cash generation and the leverage implications of the proposed A$18.0M facility. The Company is unrelated to Harbour Point Developments, a Queensland land subdivision business.

- FY25 revenue was A$9.6M, up 6.7% on FY24. EBITDA was A$3.7M, a margin of 38.5%, up from 36.5% in FY23.
- Net debt at 30 June 2025 was A$10.3M (borrowings of A$11.2M less cash of A$0.9M), or 2.8x EBITDA. Interest cover on FY25 actuals was about 4.1x.
- Operating cash flow after interest and tax was A$2.45M. After maintenance capital expenditure of A$1.00M, free cash flow was A$1.45M, but shareholder distributions of A$1.25M exceeded net profit after tax of A$1.19M.
- If the full A$18.0M is drawn, debt is 4.9x FY25 EBITDA and 4.0x management's stabilised EBITDA of A$4.5M. Interest cover on current EBITDA falls to about 2.2x at indicative pricing, which supports a hedging requirement.
- Property is carried at A$21.4M against an as-is valuation of A$38.5M. Book equity of A$8.05M therefore understates economic equity, and covenants should not be set on book net assets.

2. Scope, basis and reliance

We reviewed the audited FY25 financial statements, with FY24 comparatives, and the signed audit report of Aldous Pryce Chartered Accountants, which we understand to be unmodified. We also reviewed the Information Memorandum dated 11 August 2025 prepared with Whitcombe Lane Corporate Advisory Pty Ltd, the Kessler Marine Valuations report dated 29 August 2025 and the Dunmore Quantity Surveyors report dated 5 September 2025, and held discussions with Priya Ramanathan, Finance Director.

We have not re-audited any figures. Our scope excludes legal, tax structuring, environmental and engineering matters, which fall to other advisers including Pelican Rock Coastal Engineering Pty Ltd. Management accounts for the period after 30 June 2025 were not available at the date of this report and are expected on 10 October 2025. Figures are in A$M unless stated, and totals may not add because of rounding.

3. Income statement

A$M, year to 30 June	FY23	FY24	FY25
Revenue	8.50	9.00	9.60
Cost of sales	(1.40)	(1.45)	(1.50)
Employee costs	(2.30)	(2.40)	(2.50)
Repairs and maintenance	(0.55)	(0.60)	(0.60)
Other operating costs	(1.15)	(1.20)	(1.30)
EBITDA	3.10	3.35	3.70
Depreciation	(1.05)	(1.08)	(1.10)
EBIT	2.05	2.27	2.60
Finance costs	(0.85)	(0.95)	(0.90)
Profit before tax	1.20	1.32	1.70
Income tax expense	(0.36)	(0.40)	(0.51)
Net profit after tax	**0.84**	**0.92**	**1.19**

Summary income statement, FY23 to FY25

Revenue growth has been steady rather than step-driven, consistent with a near-full asset where growth comes from licence fee escalation and ancillary services. EBITDA margin has improved by two percentage points over two years, mainly because employee and other operating costs grew more slowly than revenue. We found no non-recurring items in FY25 EBITDA and made no normalisation adjustments. Founder remuneration appears to be at market levels, though this is to be confirmed against payroll records.

Revenue, A$M	FY23	FY24	FY25
Berth licence fees	5.20	5.50	5.80
Fuel sales	1.10	1.15	1.20
Chandlery sales	0.70	0.75	0.80
Boatyard and hardstand	0.90	1.00	1.10
Tenancy rent	0.40	0.40	0.40
Other	0.20	0.20	0.30
Total revenue	**8.50**	**9.00**	**9.60**

Revenue by stream

Berth licence fees were 60.4% of FY25 revenue. At 94% occupancy, about 244 of 260 berths were licensed, giving average revenue of about A$23,700 per occupied berth. Fuel, chandlery and boatyard income together was A$3.1M, or 32.3% of revenue, and is the more cyclical component. The waiting list of 85 applicants supports near-term occupancy but is not a contractual commitment.

4. Balance sheet

A$M, at 30 June	2025	2024
Cash	0.90	0.70
Receivables	0.55	0.50
Inventories	0.65	0.60
Other current assets	0.20	0.20
Property, plant and equipment	21.40	21.50
Total assets	23.70	23.50
Payables	0.95	0.90
Deferred income	1.35	1.25
Provisions and current tax	0.55	0.48
Borrowings	11.20	11.20
Non-current provisions	0.15	0.14
Deferred tax liability	1.45	1.42
Total liabilities	15.65	15.39
Net assets	8.05	8.11

Summary balance sheet

Borrowings of A$11.2M are presented as current because the existing facility, put in place in September 2020, falls due within 12 months of balance date. This drives a working capital deficit of A$11.8M, or A$0.6M excluding borrowings after allowing for berth fees received in advance. Quillwood should confirm the facility maturity and the directors' going concern basis against the refinancing timetable.

Property, plant and equipment is held at cost less depreciation. The as-is valuation of A$38.5M exceeds the carrying amount by A$17.1M. Issued capital is A$1.00M and retained earnings are A$7.05M.

5. Cash flow

A$M, year to 30 June	FY24	FY25
EBITDA	3.35	3.70
Working capital and provisions	0.05	0.08
Income tax paid	(0.38)	(0.43)
Interest paid	(0.95)	(0.90)
Operating cash flow	2.07	2.45
Capital expenditure	(0.90)	(1.00)
Distributions to shareholders	(0.90)	(1.25)
Net change in cash	0.27	0.20

Summary cash flow

Cash conversion is strong, with operating cash flow after interest and tax at 66% of EBITDA in FY25. Debt was unchanged at A$11.2M in both years, so the facility appears to be interest-only. FY25 distributions were 105% of net profit after tax, compared with 98% in FY24. We recommend a distribution restriction while construction is under way.

6. Notes and key accounting matters

- Revenue recognition: berth licence fees are recognised over the licence period, with unexpired fees held as deferred income of A$1.35M. Fuel, chandlery and boatyard income is recognised at the point of sale or service.
- Crown licence: no intangible asset is recognised for the water area licence, which has 28 years remaining. Annual licence fees are expensed within other operating costs, per management.
- Borrowings: the A$11.2M bank facility is secured over the Company's assets. Repayment from the proposed Tranche A would extinguish it.
- Related parties: the Company is 70% owned by Tolland Marine Holdings Pty Ltd, with 30% held by Redmayne Family Investments Pty Ltd. Directors are Graham Tolland, Priya Ramanathan and Colin Redmayne. Distributions are the only material related party flows we identified.
- Commitments and subsequent events: development approval for 40 additional berths was granted in February 2025, subject to seagrass management and a Crown Lands licence variation. Management advised that no construction contracts were committed at 30 June 2025, and we identified no other material post balance date events.

7. Leverage and coverage

Tranche A of A$11.2M refinances existing debt, Tranche B of A$5.4M funds the berth expansion (about A$4.9M base cost plus 10% contingency of about A$0.5M), and Tranche C of A$1.4M covers costs and an interest reserve. The loan to value ratio is 46.8% on the as-is value of A$38.5M and 40.0% on the as-if-complete value of A$45.0M, both on the full A$18.0M. Tranche A alone is 29.1% of the as-is value.

Case	EBITDA A$M	Debt / EBITDA	Interest cover
FY25 actual	3.7	4.9x	2.2x
Stabilised, 4.0 case	4.0	4.5x	2.4x
Stabilised, management	4.5	4.0x	2.7x

Sensitivity at full A$18.0M drawn. Assumes illustrative 3-month BBSW of 4.0% plus 5.25% margin (9.25%), excluding fees and interest capitalisation.

The A$0.8M uplift to stabilised EBITDA equates to about 84% of berth revenue from 40 berths at full occupancy and current average rates, before ancillary income. That is a high flow-through and assumes little incremental overhead. We suggest Quillwood test a case with no EBITDA uplift, where leverage stays at 4.9x and interest cover at 2.2x.

8. Key findings and credit observations

- Earnings are stable and cash generative, but the facility materially increases leverage relative to the current 2.8x net position.
- Hedging of a substantial portion of the floating rate exposure should be required, given thin cover at full drawing.
- Covenants should be calibrated to EBITDA and interest cover rather than book net assets, and should include a distribution lock-up until the expansion is complete and cover is demonstrated.
- Condition precedent matters include the Crown Lands licence variation, satisfaction of the development approval conditions and confirmation of the existing facility maturity.
- Operations depend heavily on Graham Tolland and a small team. Finance function capacity should be tested before monthly reporting is agreed.

9. Limitations and sign-off

This report is prepared solely for Quillwood Credit Partners for the purpose of assessing the facility request. It must not be relied on by any other party. Forecasts and stabilised figures are management's and have not been audited or examined by us.

Prepared by	Thornbury Accounting Advisory, Financial Due Diligence team
Reviewed by	Engagement partner, Thornbury Accounting Advisory
Date	19 September 2025
Next deliverable	Update for management accounts due 10 October 2025

Sign-off